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Recycling with the Best

Weekly Ship Recycling Report

03 August - 09 August 2024

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Highlights of the week

The overall outlook for the ship recycling industry remains bleak across all major destinations. In India, the market has been mostly stagnant and depressed for some time. The situation is worsened by the ongoing decline in steel prices, which continue to drop daily, adding to the industry's challenges. In Bangladesh, the market has reopened following a temporary shutdown but continues to face significant instability, with limited activity as stakeholders proceed cautiously. Although an interim government is in place, full operations await the official appointment of new departmental heads. These new leaders are anticipated to implement stricter regulations, potentially affecting the market landscape. In Pakistan, Gadani's market has slowed significantly, with no new vessel arrivals at the recycling yards for a considerable period, highlighting persistent challenges. In Turkiye, weak market conditions have resulted in a notable decrease in both import and local prices. The market remains inactive, with no significant changes expected soon.

China's steel sector is struggling as the ongoing real estate slump has wiped out its biggest source of demand. Steel prices are dropping, and profits are shrinking, while the government remains focused on long-term economic restructuring without offering any support to the industry. This downturn in China's steel market has far-reaching effects, driving down iron ore prices and boosting Chinese steel exports, which are fueling global trade disputes. These dynamics are poised to significantly impact the global industry, ship recycling efforts, and the steel market, leading to increased instability and challenges.

Exchange Rates:

USD / INR ₹

This Week	: 83.89
Previous Week	: 83.74
Lost	: 0.15

USD / BDT ৳

This Week	: 117.55
Previous Week	: 117.46
Lost	: 0.09

USD / PKR Rs

This Week	: 278.32
Previous Week	: 278.48
Gained	: 0.16

USD / TRY ₺

This Week	: 33.54
Previous Week	: 33.18
Lost	: 0.36

India

Market stagnation and declining steel prices highlight industry challenges.

- The market remains largely unchanged and continues to be depressed. This market has been exhibiting the same sentiment for a while now.
- Moreover, the steel market is experiencing significant downturns, with prices steadily declining day by day. This ongoing depression in the steel market further intensifies the challenges faced by the industry.
- Steel industry experts urge the government to address rising imports from China and Southeast Asia. They highlight the dual challenges of slowing exports and increasing imports, with some Southeast Asian imports being Chinese reroutes. There is concern that unchecked cheap imports from China could derail major investment plans and recent capacity expansions.

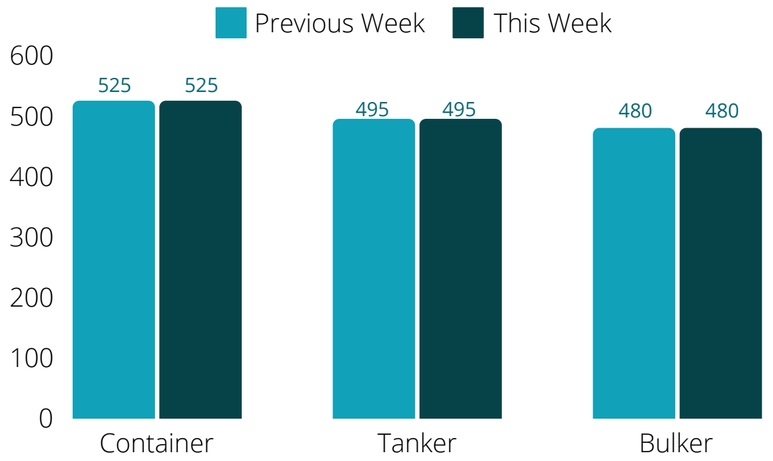
Beaching Dates

17 August to 26 August 2024

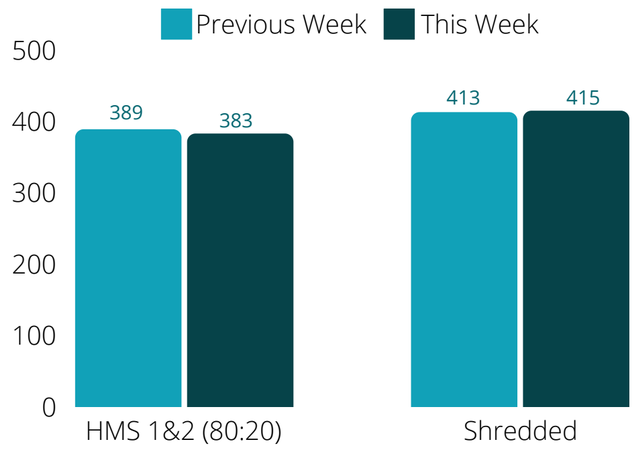
31 August to 06 September 2024

15 September to 24 September 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Market reopens amidst instability as new leadership and stricter measures are anticipated.

- The market has reopened after a brief closure, but it remains highly unstable, with limited activity as participants exercise caution and adopt a wait-and-see approach.

- An interim government has been established, but the official appointments of the new departmental heads will be announced on Monday. Once these leaders are in place, the government will become fully operational, enabling the commencement of formal activities.

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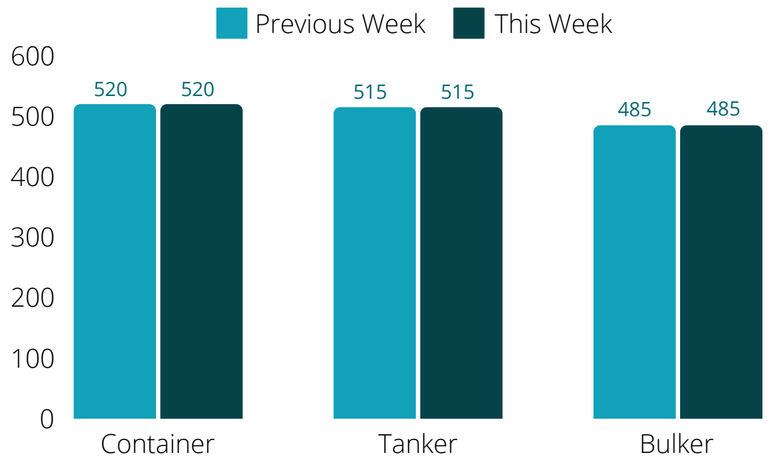
- It can be anticipated that the new leadership will implement stringent measures.

Price for Recycling Ships in Bangladesh



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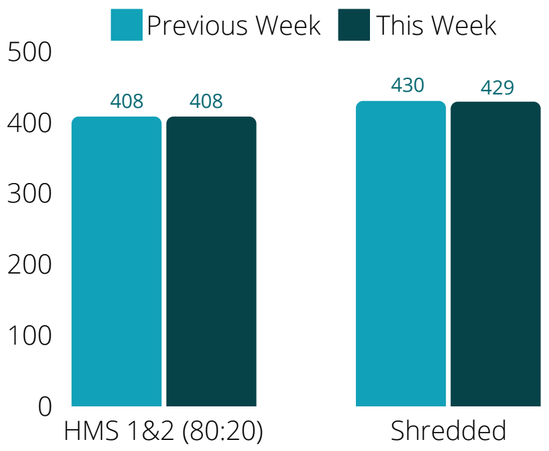


Beaching Dates

19 August to 22 August 2024
02 September to 05 September
17 September to 20 September

Pakistan

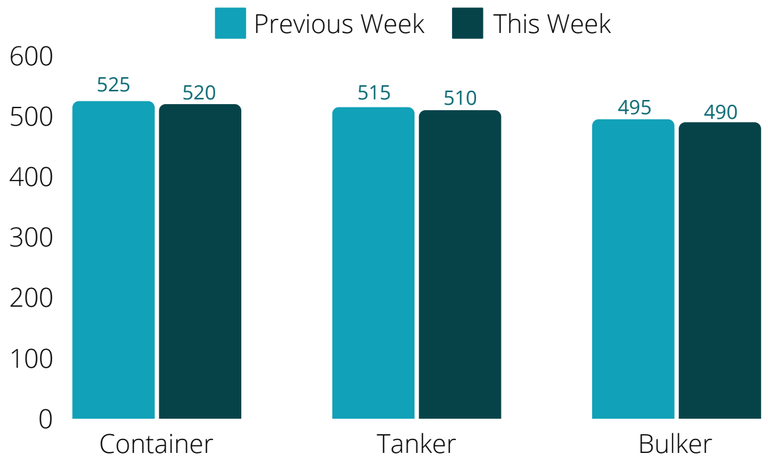
Market stagnation reflects prolonged industry challenges amid a drought of new vessel arrivals.

- The market in Gadani has faced a significant slowdown, with no new vessel arrivals reported at the recycling yards for a considerable time. This pronounced decline underscores the ongoing challenges affecting the industry.

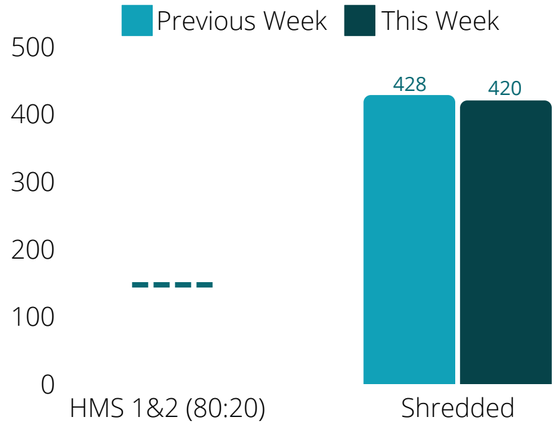
- Currently, very few recyclers are offering bids for ships. This lack of interest is primarily due to high capital costs and weak demand for scrap and ship plates. Despite a stable political situation, the economy remains stagnant with no signs of improvement.

- The limited supply of ships in the market means recyclers struggle to compete with other destinations, fearing potential losses.

Price for Recycling Ships in Pakistan



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

Throughout the month

Türkiye

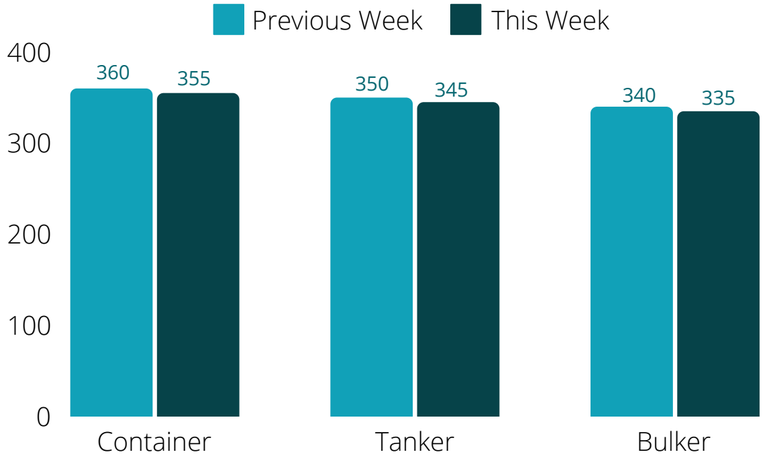
Market weakness and prolonged inactivity with no significant recovery anticipated.

- The current market conditions are weak, resulting in a noticeable decrease in both import and local prices by 5 USD.
- The market has been largely inactive for some time, with little to no activity observed. No significant changes or developments are expected in the foreseeable future, indicating a continued period of stagnation.
- Annual inflation continued to decline in July, aided by favorable base effects. This decrease occurred despite adjustments to the special consumption tax (SCT), administrative price changes, and rising food prices.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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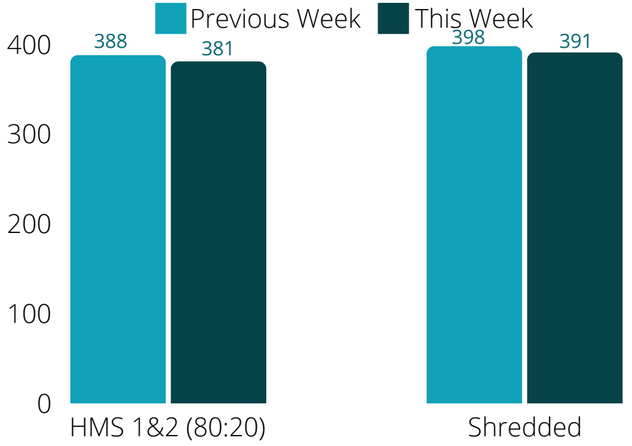
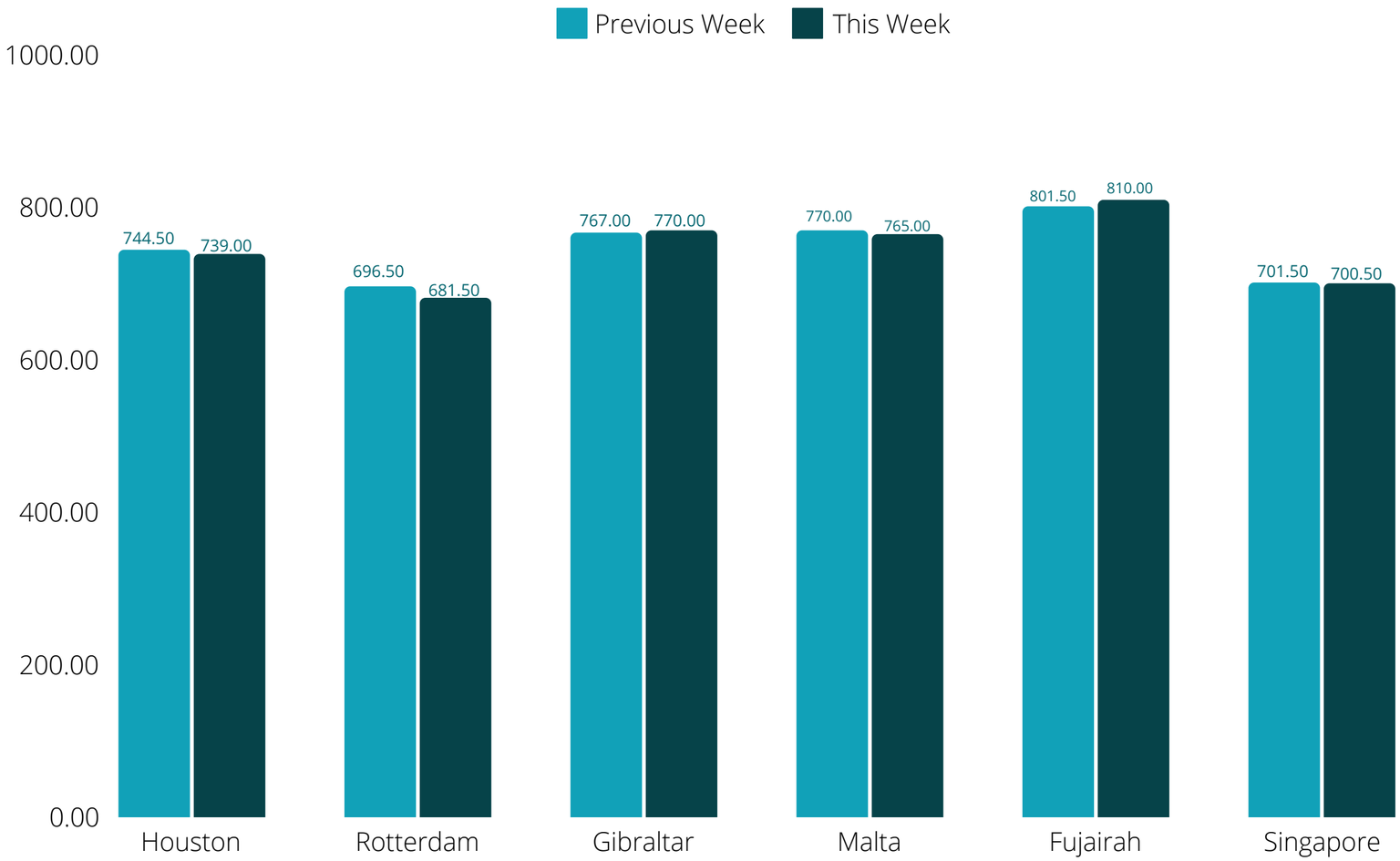


Bunker Prices at Port



Brent Crude

This Week	: 79.11
Previous Week	: 80.25
Movement	: - 1.14

WTI Crude

This Week	: 76.25
Previous Week	: 77.07
Movement	: - 0.82

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
ALEXANDER MAERSK	CONTAINER	9164237	1998	CHINA	6,122	DELIVERED	ALIAGA, TURKIYE(GREEN RECYCLING)	UNDISCLOSED

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